The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

Motjaba Khamenei, **Iran's** supreme leader, vowed in a statement to maintain control of the **Strait of Hormuz** and put an end to "the enemies' abuses of the waterway" (although Mr Khamenei has not been seen in public since he succeeded his father last month). Iran said America's regional bases would face "long and painful strikes" should hostilities resume. On Thursday America's top brass will brief Donald Trump on potential military action in Iran.

America's Congress passed a bill to reopen the **Department of Homeland Security**, which has been shut for 75 days. The bill does not provide new money for immigration-enforcement agencies; the omission had been a sticking point for some House Republicans. The party instead hopes to fund them using a legislative tool that lets the Senate pass spending measures with a simple majority.

America's economy grew at an annualised rate of 2% in the first quarter of 2026, slightly below the expectations of economists. Business investment rose sharply as firms ramped up spending on AI infrastructure, offsetting a slowdown in consumer spending. But the report also showed inflation picking up, as higher energy prices linked to the Iran war began to feed through to the economy.

Israeli strikes killed at least four Palestinians in Gaza, according to local health officials. Hamas officials met mediators in Cairo to try to revive a fragile ceasefire that has stalled in recent weeks. Meanwhile, Israel's navy intercepted an aid flotilla in international waters near Greece, detaining activists and preventing the boats from reaching Gaza.

Brazil's Congress overrode President Luiz Inácio Lula da Silva's veto of a bill to shorten the prison sentence of former president **Jair Bolsonaro**. Last year Mr Bolsonaro was sentenced to 27 years in jail for plotting a coup after his electoral defeat in 2022; the law reduces that to around two years. The Senate also recently rejected Lula's Supreme Court nominee.

Eli Lilly reported first-quarter revenues of $20bn, up 56% year on year. Boosted by its weight-loss drugs, the American drugmaker nearly tripled its profit to $7.4bn and raised its guidance for 2026. Foundayo, Lilly's long-awaited weight-loss drug in pill form, was approved by American regulators earlier this month.

After weeks of speculation, **Saudi Arabia's** public investment fund confirmed that it will stop funding LIV, the rebel **golf** tour it co-founded. Saudi Arabia has spent more than $5bn on its golfing gambit but said it was "no longer consistent" with its investment strategy. It is putting less money into flashy investments such as sports and more into supporting the domestic economy.

Figure of the day: 12, the number of African countries expected to be among the world's 20 fastest-growing economies in 2026. Read the full story.

Photograph: Getty Images

Europe’s opaque economic outlook

The European economy is difficult to predict at the best of times. It is even harder now. The global energy shock is dulling consumers’ appetites and putting upward pressure on inflation, which hit 3% in the euro zone, according to preliminary figures published on Thursday. Inflation is forecast to reach 5% or more this year if oil prices stay above $100 a barrel.

New data show growth of just 0.1% in the first quarter. It’s not obvious what will happen next. Recent business-activity data for services were dire, at post-pandemic-era lows, but those for industry were at a 47-month high. The European Central Bank subsequently left rates unchanged at its meeting on Thursday. But the bank was careful to stress that a possible increase in June remains on the table.

Illustration: David Simons

The Bank of England is playing a waiting game

Britain’s central bank voted to keep its benchmark interest rate at 3.75% on Thursday. Before the war in the Gulf the Bank of England was cutting rates; it has done so six times since August 2024. In early February the bank projected that inflation would fall to around 2% (its target) in the second quarter of 2026, leading traders to expect further cuts. But because of soaring energy costs the bank now forecasts inflation reaching 3.5% by September.

Huw Pill, its chief economist, worried that this will cause wages and prices to push each other higher over a longer period. He voted for a pre-emptive interest-rate hike to 4% to prevent that. But the bank’s eight other rate-setters—including Andrew Bailey, the governor—worried that a premature rise could weaken an already-fragile economy. They voted to hold, wanting the fog of war to clear a little before they alter rates.

Photograph: EPA

Iran’s World Cup dilemma

More than 200 national football federations will attend the annual congress of FIFA, the game’s global governing body, which starts in Vancouver on Thursday. The men’s World Cup in America, Canada and Mexico, which kicks off in just six weeks, is sure to dominate discussions.

That will mean more political talk than usual—not least about Iran’s participation. The country’s sports minister, Ahmad Donyamali, has expressed concerns about security, linked to the war with America. “Our boys are not safe,” he has said. Iran are due to play group-stage matches against Belgium and New Zealand in Los Angeles and against Egypt in Seattle. FIFA has dismissed requests to move the games to Mexico.

FIFA’s president, Gianni Infantino, is eager to keep the ball rolling. He insists that Iran will take the field. But with five members of the Iranian women’s team granted humanitarian visas after a tournament in Australia, security concerns may be the least of Tehran’s worries.

Photograph: Propstore

Souvenirs of popstars past

Pop memorabilia is big business. Recently Christie's, a venerable auction house, sold a Fender Stratocaster played by David Gilmour, Pink Floyd's guitarist, for a record $14.5m. The "Treasures from Music" auction, which opens on Thursday in London, caters to (somewhat) smaller budgets. Propstore, the auctioneer, founded in 1998, is two centuries younger than Christie's. Its catalogue includes curios connected to Michael Jackson, Amy Winehouse, Oasis and Queen. The prices range from three to six figures.

Among the most expensive is an autographed Gibson Les Paul guitar used by Slash of Guns N' Roses, which could fetch £300,000 ($405,000). Other highlights include a fur coat that belonged to George Harrison, the Beatles' late lead guitarist; a proof print of "Aladdin Sane", David Bowie's lightning-flash album cover; and a leather jacket worn by George Michael in his "Faith" music video. From this century, a battered pair of Kendrick Lamar's Nike sneakers is listed for £20,000.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Thursday: Which buildings in Malaysia were the world's tallest from 1998 to 2004?

Wednesday: The median appears at which point of a statistical distribution?

Work is the best of narcotics, providing the patient be strong enough to take it.

Beatrice Webb